## PROSPECTS FOR INDIA

India has entered a 'critical decade'[28]. It has emerged as a large and systemically important economy on the global stage. It enjoys the unique advantage of having many economic indicators in its favour, particularly a large domestic market, robust investment-to-GDP ratio, and demographic advantage. However, all of these will need to be leveraged to get the full advantage out of them. Undoubtedly, this requires India to address its internal challenges, which include the long-standing problem of poverty and the development of its social and physical infrastructure.

India, given its size and its profile in the global economy, will inevitably need to play an active role at global level, not just in debates about how to resolve the continuing crisis and prevent the recurrence of similar crises in the future, but in influencing the rules for the global economy on overarching macroeconomic issues such as trade, capital flows, financial regulation, climate change, and governance of global financial institutions.

On the front of engaging the global economy, at this juncture, India may be advised to take a *passive stance* in the current global debate and just wait for the period of crisis to fade out. This looks the easy choice, too. But this option is no longer realistically feasible due to two reasons:

(i) India is already too much a part of the global economy and polity; and

(ii) developments in the world will affect India deeply and what India does will affect the world.

Therefore, there seems a need for India to engage with the world in terms of action and ideas. A majority of experts all over the world, including the policy-makers in India and its economic think-tank, seem to agree on this stance being taken by India while engaging the new global economic order. To conclude briefly, we may say that India is destined to affect/write the emerging global economic order – naturally, according to its future economic determinants and the world community at large.

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1. ***Economic Survey 2011-12,*** op. cit., p. 337.